

INDIAN ECONOMY

**LEVEL
II**



LECTURES

**HISTORY OF DEVELOPMENT
BANKING IN INDIA**

MODULE - 31



WHAT ARE THE WAYS OF FUNDING INFRASTRUCTURE PROJECTS?



1

Through the issue of long-term bonds

This is the best way to mobilise money from markets, but in India the long-term bond market has not deepened even now.



2

Through the Development Finance Institutions (DFIs)

With the concept of universal banking, the then available DFIs like ICICI, IDBI (meant for industrial financing needs) were converted to banks. Hence DFI mechanism was not developed.



3

Through the Banking System

... But it leads to Asset Liability Mismatches and banks do not have proper credit appraisal mechanisms.



4

Through the Government funds



सत्यमेव जयते

The Governments have several other responsibilities too!



WHAT EXACTLY YOU UNDERSTAND BY DEVELOPMENT BANKS?



- 1 Development banks are financial institutions that provide long-term credit for capital-intensive investments spread over a long period.
- 2 They yield low rates of return. The sectors are, such as urban infrastructure, mining and heavy industry, irrigation systems, ports, bullet trains, express ways etc.
- 3 Such banks often lend at low and stable rates of interest to promote long-term investments.
- 4 These are also known as Development Finance Institutions or Term-lending Institutions.

SECTORS WHICH REQUIRE LONG-TERM FINANCE



WHAT IS THE PROBLEM, IF BANKS UNDERTAKE SUCH LENDING?



- Interest rate may be high.
- Asset liability mismatch as the commercial banks mobilise short-to medium-term deposits.
- Proper credit appraisal mechanisms may be lacking with the Banks.
- Banks are not meant for such long-term finance, which may cause liquidity and solvency related problems.
- Financing to other sectors may be affected.

Solvency is the ability of a company to meet its long-term commitments and financial obligations to stay in business.

HOW DO THE DFIs MOBILIZE MONEY AT LESSER INTEREST?



- 1 They usually mobilise money by issuing long-dated securities in capital market. These are subscribed by long-term savings institutions such as pension and life insurance funds and post office deposits.
- 2 Considering the social benefits of such investments, development banks are often supported by Govts. or international institutions. Such support can be in the form of tax incentives and administrative mandates for financial institutions to invest in securities issued by development banks.

WHAT WAS THE HISTORY OF DFIs IN INDIA AFTER INDEPENDENCE?

IFCI

- It was set up in 1948.
- It was previously the Industrial Finance Corporation of India.
- This is India's first development bank for financing industrial investments.
- But at present its operations are insignificant.



ICICI

In 1955, the World Bank promoted the Industrial Credit and Investment Corporation of India, the parent of the ICICI Bank, as a collaborative effort between the Govt. and India's leading industrialists to finance modern and relatively large private corporate enterprises. It is no more in existence.



IDBI

In 1964, IDBI was set up as an apex body of all development finance institutions. It is no more in existence.



HOW WERE THE DEVELOPMENT FINANCE INSTITUTIONS FINANCED AFTER INDEPENDENCE?



This could not facilitate the development of the long-term bond market!

- Domestic saving rate was low and capital market was absent in those days. However, the requirement of money in those days was not that high. Hence, the following strategies were adopted.
- ✓ Lines of Credit from the Reserve Bank of India i.e., some of the surplus was channeled to long-term credit.
- ✓ Statutory Liquidity Ratio bonds, into which commercial banks had to invest a proportion of their deposits, were channeled towards DFIs.
- ✓ The money mobilized through insurance was also channeled towards long-term credit.

WHY WERE THE DEVELOPMENT FINANCE INSTITUTIONS NOT SUCCESSFUL?... PARTLY THEIR OWN MAKING!



MOUNTING NPAs

- They got discredited for mounting non-performing assets.
- These are allegedly caused by politically motivated lending and inadequate professionalism in assessing investment projects for economic, technical and financial viability.

LET US LOOK AT DESAI COMMITTEE REPORT OF 1999!

- DFIs financed industrial groups rather than new entrepreneurs. They diluted the standard of scrutiny of proposals.
- They had weak project/implementation monitoring skills.
- They inherited a bureaucratic attitude, which prevented a comprehensive achievement of their founding objectives.
- Though the quantity of funds that flowed through these channels was huge, DFIs failed to create dependable resources by way of funds and skills to accelerate industrial and infrastructure development.

WHAT HAPPENED AFTER LIBERALISATION?



- 1 After 1991, following the Narasimham Committee recommendations on financial sector reforms, Development Finance Institutions were disbanded and got converted to commercial banks.
- 2 The concept of Universal Banks came to the forefront and the burden fell on the banks.
- 3 Banks lent heavily for the infrastructure, power, telecom sectors and we have seen the problem of high Non-Performing Assets in recent times.

WHAT ABOUT THE DEVELOPMENT FINANCE INSTITUTIONS ACROSS THE WORLD?

CHINA'S DEVELOPMENT BANKS

- Agricultural Development Bank of China, China Development Bank, Export-Import Bank of China are at the forefront of financing its industrial prowess.
- After the Global Financial Crisis, these institutions taken the lead to finance China's risky technological investments helping it to gain global dominance in IT hardware and software companies.



国家开发银行
CHINA DEVELOPMENT BANK



GERMANY'S KfW

Germany's, KfW is spearheading long-term investment in green technologies and for sustainable development efforts requiring long-term capital.



Now, India heralded a new era in DFI ecosystem with the launch of NaBFID!

WE EXPRESS OUR
SINCERE THANKS
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